ECONOMIC SURVEYS BY THE OECD

UNITED KINGDOM

MARCH 1962

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
PARIS

O. C. D. E.
BIBLIOTHEQUE
- 6 MAR 1962
N° 1.326/62

UNITED KINGDOM

BASIC STATISTICS

THE LAND

Area (1,000 sq.km.)	244
Agricultural area (1,000 sq.km.)	199

Major cities (population in millions 1960):

London (administrative county)	3.2
Birmingham	1.1
Glasgow	1.1
Liverpool	0.8
Manchester	0.7

THE PEOPLE

Population (1961 Census)	52,676,000
No. of inhabitants per sq.km.	216
Net natural increase in population, 1956-61:	
— annual average	314,000
— annual average per 1,000 inhabit.	6
Labour force, June 1961	24,650,000
Employees in manufacturing industries, June 1961	8,928,000

PRODUCTION

Gross national product in 1960 (millions of £)	25,283
G.N.P. per head in 1960 (U.S. $)	1,723
Gross fixed investment (average 1956-60):	
— per cent of G.N.P.	16
— per head (U.S. $)	246
Origin of G.D.P. at factor cost (1960):	
— Agriculture	4
— Mining and manufacturing	39
— Construction	6
— Services and distribution	51
Home food production as percentage of total food availability (average 1953-58)	45

THE GOVERNMENT

Public current expenditure, 1960 (percentage of the G.N.P.)	17
General Government current revenue 1960 (percentage of the G.N.P.)	32
National Debt 31 March 1960 (ratio to General Government revenue)	358
Composition of Parliament:	
Conservatives	365 seats
Labour	258 seats
Liberals	7 seats
Independant	1 seat

Last election 8 October, 1959.

LIVING STANDARDS

Calories per head, per day (1959-60)	3.290
Consumption of energy per head (1957) (average of European OECD countries = 100)	174
Steel consumption per head (1957) (average of European OECD countries = 100)	145
Industrial production per head (1957) (average of European OECD countries = 100)	149
Average weekly earnings of men in industry April 1961	301s. 4d.
No. of passenger cars in use per 1,000 inhabitants (1960)	108
No. of telephones per 1,000 inhab. (1959)	150
No. of radio sets per 1,000 inhab. (1959)	284
No. of television sets per 1,000 inhab. (1959)	178
Public current expenditure on education per head in 1959 (U.S. $)	51

FOREIGN TRADE

EXPORTS:

Exports of goods and services as a percentage of the G.N.P. (average 1956-60)	25
Main exports (percentage of total exports in 1961):	
Machinery	29
Road motor vehicles	12
Chemicals	9
Textiles and clothing	8
Iron and steel	6
Petroleum products	3

IMPORTS:

Imports of goods and services as a percentage of the G.N.P. (average 1956-60)	24
Main imports (percentage of total imports in 1961):	
Petroleum	11
Animals and meat	8
Machinery	7
Fruit and vegetables	6
Non-ferrous metals	6
Cereals	5

THE CURRENCY

Monetary unit: pound sterling.

Currency units per U.S. $: 0.357

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1962

PUBLISHED BY
THE ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
2, RUE ANDRE PASCAL - PARIS 16e

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in March 1962.

Published in March 1962

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UNITED KINGDOM

I. INTRODUCTION

1. In the summer of 1961 the United Kingdom Government took a wide range of measures to curb excessive expansion of internal demand and improve the external balance. Despite some improvement from the previous year, the basic elements of the balance of payments were still unsatisfactory, and early in the year there was a reversal of 1960's heavy inflow of short-term capital. Moreover, by July it was clear that internal demand pressures had become too strong, with tension manifest in the labour market. While private consumption and investment were rising, exports were showing no significant upturn.

2. Under these circumstances, the authorities raised Bank rate by two points to 7 per cent, made a further call for special deposits from the banks, and imposed the maximum 10 per cent surcharge on indirect taxes. A pause in income rises was declared necessary, and the Government stated that this policy would be applied strictly in all sectors for which it was responsible. Steps were announced to restrict the growth of public expenditure between the fiscal years 1961-62 and 1962-63. Government expenditure overseas, particularly military expenditure, was to be reviewed and stricter criteria for approving private investment in non-sterling countries were to be laid down. Firms were to be encouraged to remit to the United Kingdom a larger share of their profits earned abroad. To help the reserve situation until the effect of these measures had begun to be felt, and to strengthen confidence in sterling, the United Kingdom drew the equivalent of $1.5 billion from the I.M.F. and arranged a stand-by credit of $0.5 billion.

3. While their origins were rather dissimilar, the currency crises of both 1961 and 1957 thus occasioned strong measures of a restrictive nature. The external balance obtained after 1957 rested on the subsequent stagnation of output, as well as on an improvement in the terms of trade. Similarly, in the present case, external equilibrium is likely to be restored by the check imposed on expansion during the second half of 1961 and the restraint on the growth of domestic demand in 1962. But when the July 1961 measures were announced, the Government recognised that though action to restrict the growth of home

demand had been rendered inevitable, this was unlikely, by itself, to enable more rapid and strong growth, and more lasting external balance, over the longer-term.

4. The emergency measures of July were intended to provide a temporary respite during which longer-term policies could be evolved to deal with the more deep-seated problems of which the latest crisis was only a symptom. Thus, in announcing its immediate measures, the Government also stated that it intended to develop more far-reaching plans to achieve, in the future, more satisfactory growth rates combined with more stable costs and prices. The Government's intentions included the better co-ordination of public and private development plans, arrangements to ensure that increases in money incomes were compatible with cost and price stability, and the improvement of the British competitive position overseas. To this end the Government proposed the establishment of a National Economic Development Council and this was subsequently brought into being in February 1962 with the participation of representatives of the employers and trade unions. Immediately after it had announced these policy intentions, the Government entered into formal negotiations for full membership of the European Economic Community.

5. The following analysis of economic trends in the United Kingdom in the 1950's, and the rather broad comparison with developments in the industrialised countries of the Continent with which it is accompanied, may illustrate some of the defects which call for longer-term measures.

II. EXPERIENCE IN THE 1950's

6. For a number of reasons, growth in the United Kingdom during the 1950's was slow, only about half the rate achieved by the present members of the European Economic Community. And the increases in output that did take place were confined to two relatively short periods. Industrial production rose rapidly from the end of 1952 to mid-1955 and again from the end of 1958 to early 1960, but for the rest of the time was unchanged or declining slightly. The pattern of labour market trends was even more markedly cyclical, though unemployment as a proportion of the labour force remained low throughout the period (Diagram 1).

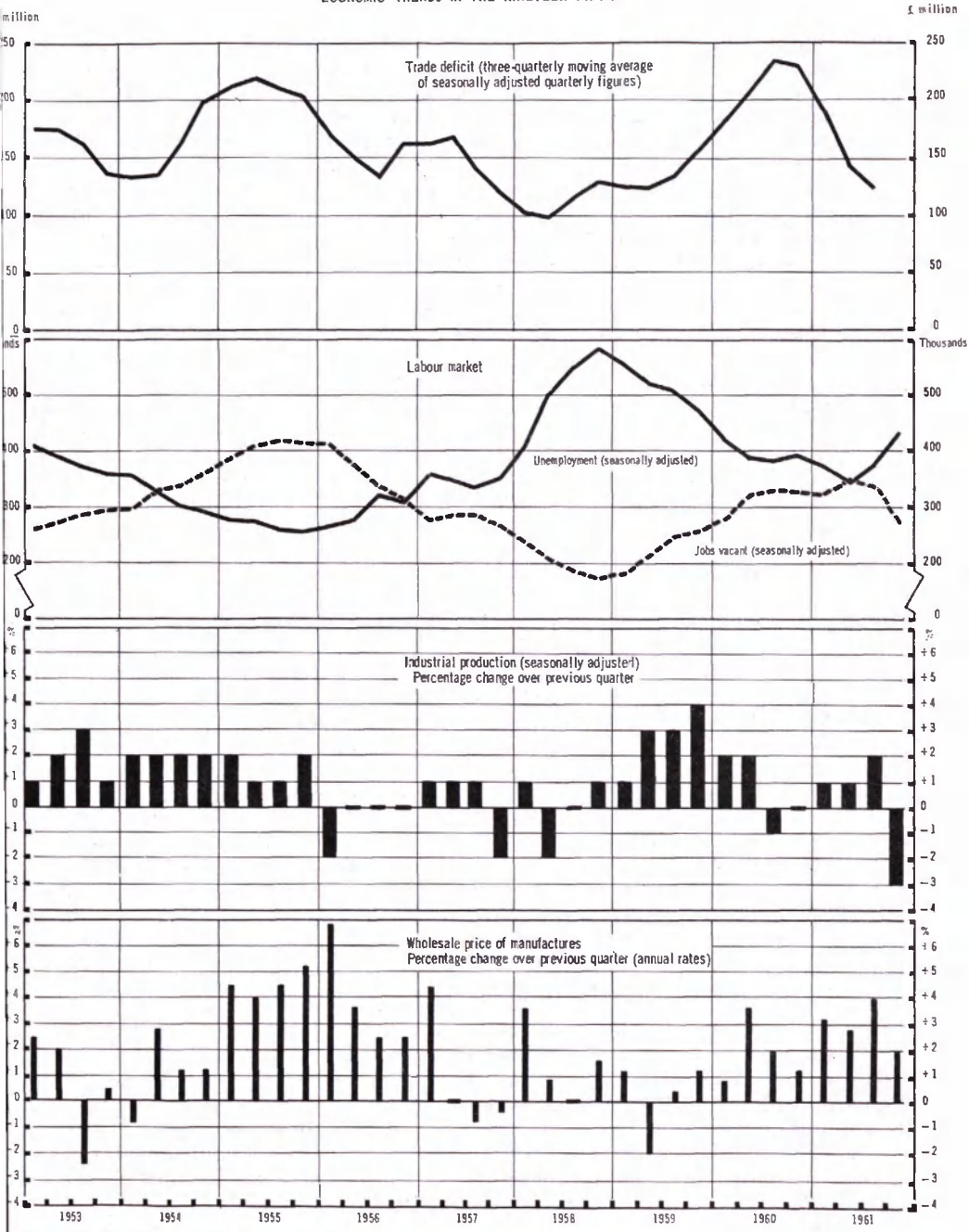
i) Cyclical developments, 1953-1961

1953-55 expansion

7. The check to demand which became necessary in 1955 followed a brief period of rapid growth of demand and output which began early in 1953. In April 1953, the budget had reduced direct

Diagram 1

ECONOMIC TRENDS IN THE NINETEEN FIFTIES



Source: Monthly Digest of Statistics, O.E.C.D. Secretariat seasonal adjustments.

taxes and introduced fiscal stimulants to investment, a policy which was carried further the following year. In September 1953, Bank rate was reduced from 4 to 3.5 per cent, with a further 0.5 per cent reduction in May 1954. During 1953 and 1954 various controls over long-term borrowing for investment purposes and over bank lending were removed, including all controls over hire purchase borrowing. The upswing in consumer demand which began in 1953 was followed by a revival in investment activity and, later, stock-building. By the end of 1954 it had become apparent that the economy was being overstrained; labour shortages and pressure on physical capacity were increasing, with a growing overspill of home demand into demand for imports. As a result, the trade balance began to deteriorate in 1954, a trend which continued in 1955. Sterling came under additional pressure in the autumn of 1955 because of rumours of an impending change in the margins within which the official exchange rate was allowed to vary. A number of separate measures had progressively to be adopted in 1955 and early 1956 before the boom was brought under control. These measures included higher interest rates - Bank rate reached 5.5 per cent early in 1956 - credit and hire purchase restrictions, cuts in public expenditure, and increased direct and indirect taxes.

1956-58 restrictions

8. The expansionary phase eventually came to an end mainly because of the check to the growth of consumer demand; fixed investment continued to rise until early in 1957. An appreciable reduction in the rate of stockbuilding led to a decline in imports and, with exports continuing to edge upwards, the trade balance improved from the first half of 1956 onwards. The pressure of demand eased to some extent during 1956, with a small rise in unemployment and a decline in job vacancies, but the excess demand for labour persisted throughout the year. In February 1957 Bank rate was reduced to 5 per cent, as it appeared that the excess demand conditions of 1954 and 1955 had been eliminated, and there was a brief upturn in consumers' demand early in that year which checked the rise in unemployment. Despite the continuing improvement in the visible balance, however, renewed rumours of impending exchange rate changes and the loss of reserves obliged the authorities in September 1957 to apply restrictive credit measures, including an increase in Bank rate from 5 to 7 per cent, and to make reductions in public expenditure. These measures coincided with a fall in export demand, due particularly to the United States recession and the decline in primary producers' incomes. With exports falling, investment demand levelling off and consumption rising very gradually, output fell slightly from the middle of 1957 to the middle of 1958. The weakness in export demand was more than counterbalanced by the fall in commodity prices, however, and there was a further improvement in the trade balance in 1958. On an annual basis, the improvement in the current balance of payments in 1958 was very substantial (£116 million) and the reserves rose by £284 million.

1959-60 expansion

9. The potential buoyancy of demand was demonstrated once more in 1958 when the Government took action to stimulate demand. Bank rate was reduced to 4 per cent and all restrictions on bank lending and hire purchase removed. The upturn in consumers' demand at the end of the year was followed from the second quarter of 1959 by a sharp rise in fixed capital expenditure. The 1959 budget included fiscal incentives to both consumption and investment, and the year was one of strong expansion of production and productivity, as under-utilised capacity was brought back into use ; this was accompanied by little increase in prices and falling labour costs per unit of output. But towards the end of the year the external balance started once again to deteriorate. Thus it was that, early in 1960, new restrictive measures were found necessary to check the rise in home demand. These were progressively reinforced in April and June and were designed mainly to curb consumption and to free resources for the investment sector and exports. But the extent to which the pattern of output could be changed was somewhat limited, so that in both 1960 and 1961 there was a contrast between the durable consumer goods sector, with spare capacity and an easy labour situation, and the capital goods industries where, in general, little margin was available and manpower was scarce.

1960-61 restrictions

10. Despite the check to production in the spring of 1960, the rise in personal incomes was substantial ; labour costs per unit of output increased far more rapidly than in the preceding two or three years. And although the growth of consumers' demand for durable goods was halted, the external balance did not improve. Exports had been rising through 1959 despite the very strong expansion of internal demand ; but they reached a peak early in 1960, around which, after a slight decline, they have subsequently fluctuated. Imports, on the other hand, increased much faster in 1960 than in 1959 as a result of heavy stock-building and did not begin to decline until the end of the year. As a result of these trends, together with a continued rise in government expenditure overseas and of a further fall in net receipts from private invisibles, the balance of payments on current and long-term capital account underwent a very substantial deterioration in 1960, and only a large inflow of short-term capital prevented a significant strain on the reserves.

11. Although the trend in the visible trade balance began to improve later in 1960 and the deterioration in net private receipts from invisibles came to an end, the outlook for exports early in 1961 was not sufficiently buoyant for a rapid return to balance on private and government external account combined. Moreover, there were signs during the first quarter that the growth of internal demand would be more rapid than in 1960,

particularly because of a revival in consumers' demand for durable goods. At the same time, it was clear that a substantial rise in nominal incomes had taken place which, given the slow growth of productivity, tended to push up unit costs of production, although this effect was cushioned to some extent by a fall in profit margins. In these circumstances, the Government introduced a restrictive budget in April and sought authority for the introduction of new short-term economic regulators to supplement its general stabilisation powers and reduce reliance on changes in hire purchase controls of earlier years. The deterioration of the internal situation during the first half of 1961 was accompanied by a heavy outflow of short-term capital, triggered off by the wave of speculation following the revaluation of the German mark and the Dutch florin in March. Despite temporary arrangements under the Basle Agreement for buttressing the United Kingdom's reserves, the adverse pressure, linked with a sharp worsening in the timing of payments and to further withdrawals of short-term capital from London, continued until July, imposing severe strain on the reserves. In these circumstances the Government introduced the new restrictive measures described in paragraph 2 above.

ii) The economic record of the 1950's in the United Kingdom and in the countries of the European Economic Community

12. The failure of the economy to sustain any prolonged period of growth of output during the 1950's and the slow growth of productivity, both actual and potential, compare unfavourably with the record of industrialised countries on the Continent. Table 1 gives a rough illustration of the extent to which the performance of the economy has been falling behind achievements in some other countries. The picture is of course to some extent influenced by the choice of time periods used.

13. The rate of growth of G.N.P. in the United Kingdom in the 1950's was about half the rate achieved in the Member countries of the European Economic Community ; the relation of the United Kingdom and E.E.C. growth rates did not change between the two five-year periods despite the fact that, by 1955, the reconstruction phase, which might have been expected to favour a faster rate of growth on the Continent was practically over. Even when allowance has been made for the fact that, as indicated in paragraphs 20-21 below, employment was growing more slowly in the United Kingdom than was general on the Continent, the comparison is still unfavourable ; the growth of G.N.P. per head of employed population was 2.5 to 3 times faster on the Continent up to 1955 and twice as fast subsequently. Output per man-hour in industry shows a similar comparison ; the increase in the United Kingdom was between one-half and one-third of that in the E.E.C. countries.

Table 1. ECONOMIC RECORD
OF THE UNITED KINGDOM
AND THE EUROPEAN ECONOMIC COMMUNITY

1950 - 1960

(Percentages and million dollars)

	1950-1955[1]		1955-1960[1]	
	UNITED KINGDOM	E.E.C.	UNITED KINGDOM	E.E.C.
G.N.P.	+15	+34	+13	+27
Employment	+4.5	+5.9	+1.7	+6.1
G.N.P. per head of employed population	+10	+27	+11	+20
Industrial production	+21	+52	+14	+40
Industrial production per man-hour	+13	+37 [2]	+16	+37 [2]
Price index of G.N.P. ...	+26.5	+19.2[3]	+16.2	+13.0[3]
Volume index of imports	+26	+56	+26	+66
Volume index of exports	+6	+76	+13	+63
Imports and exports as percentage of G.N.P. (average for the period)	38	28	32	30
Change in the visible trade balance (million dollars, current rate)	-756	+1,392	+72	+1,464
Change in official gold and foreign exchange holdings (million dollars, end of period)	-120	+5,002	+518	+5,975

1) Average of 1949-50, 1954-55 and 1959-60 in the case of the last two lines.

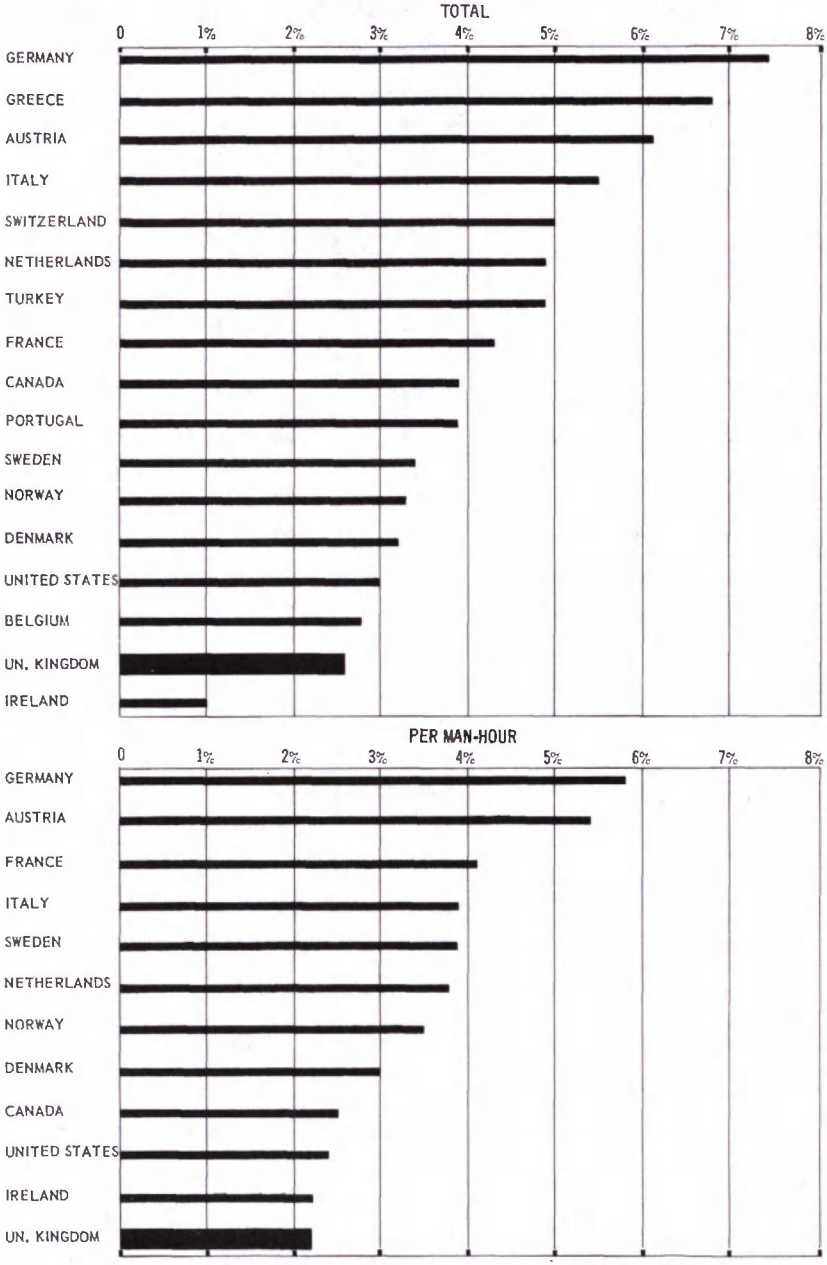
2) Excluding Belgium and Luxembourg.

3) Excluding France (see paragraph 14). If France is included, the corresponding figures are +25.6 per cent in 1950-55 and +21.4 per cent in 1955-60.

SOURCE : O.E.C.D. General Statistics.

14. The slow rate of growth of output and productivity in the last decade was not accompanied by price stability. Measured in terms of implicit G.N.P. prices, the rise in British prices was substantial and rather greater than that in the E.E.C. countries other than France, which had to make two devaluations during this period.

Diagram 2. GROSS NATIONAL PRODUCT
ANNUAL AVERAGE RATES OF GROWTH, TOTAL AND PER MAN HOUR, 1950-1960



SOURCE : Secretariat estimates.

15. But it is when trends in the external balance are considered that the comparison with the continental countries becomes particularly striking. The elasticity of demand for imports does not seem to have been substantially different in the United Kingdom and in the E.E.C. countries. But the development of exports shows a very strong contrast. After an insignificant rise in the first half of the decade, United Kingdom exports rose only half as fast as imports between 1955 and 1960. In the E.E.C. countries, on the other hand, exports and imports grew in parallel during the 1955-60 period and in the first half of the decade exports had been rising substantially faster than imports. Even allowing for the progressive improvement of the terms of trade in this period, the slow growth of exports stands out as one of the most striking features of the performance of the United Kingdom economy in the 1950's. As a result, the trade balance deteriorated by about $0.8 billion in the first half of the fifties and improved only slightly in the second half, whereas the trade balance of the E.E.C. countries improved by $1.4 billion and $1.5 billion in the same periods. Over the whole decade the United Kingdom's gold and foreign exchange reserves rose by $0.4 billion, whilst those of the E.E.C. countries rose by $11.0 billion.

III. OBSTACLES TO GROWTH IN THE 1950's

16. The problems underlying the United Kingdom's relatively low rate of growth in the 1950's are complex and, to some extent, interlocking. They are unlikely to respond to any single, simple solution, but certain factors with important implications for policy may be singled out from the experience of the past decade.

17. The low rate of growth cannot be ascribed to any inadequacy of overall demand. The problem lay rather in the fact that, in contrast to what was happening in many continental countries, exports did not play a major dynamic role in the growth process. It was home demand, in the case of the United Kingdom, that spear-headed development over the 1950's, and through successive cycles this led, after a relatively short time, to a deterioration of the balance of payments accompanied by internal strains, particularly on the labour market. The picture was, repeatedly, one of home demand rising faster than output, with exports insufficiently dynamic to look after the balance of payments and the authorities required to impose frequent measures of restraint. The external payments position was further complicated by the relatively large burden of defence expenditure overseas and, later, of overseas aid.

18. A faster rise of exports would have been difficult to achieve given the trend of costs and prices. A striking phenomenon during much of the period was the fact that, in the United Kingdom,

rising money incomes were associated with price increases to a significantly greater extent, and production increases to a smaller extent, than in most continental countries (see Table 2). While this difference may in part have reflected the fact that the United Kingdom, unlike a number of other countries, began the period in conditions of rather full capacity-utilisation with virtually no spare manpower, it seems unlikely that the British problem of costs and prices can mainly be explained in terms of demand pressures ; costs and prices seem to have increased almost equally during periods of restraint and periods of expansion.

Table 2. CONTRIBUTIONS OF OUTPUT, IMPORTS AND PRICE INCREASES IN MEETING OVERALL DEMAND INCREASES 1955-60

Percentage of overall demand increase

	UNITED KINGDOM	E.E.C. COUNTRIES	WESTERN EUROPE[3]
1. Increase of overall demand (Gross national expenditure + exports)[1]	100	100	100
of which :			
Increase of exports	14.3	21.6	20
Met by :			
2. Increase of G.N.P. volume [2] ..	34.3	40.1	43.2
3. Price rise of G.N.P.	49.2	39.8	34.5
4. Increase of import volume [2] ..	16.6	17.8	20.2
5. Price rise of imports	-0.2	2.3	2.1
	100	100	100

1) At current prices and constant (1954) exchange rates.
2) At 1954 prices and exchange rates.
3) Excluding the United Kingdom.
SOURCE : O.E.C.D. General Statistics.

19. The relatively low rate of increase of output and high rate of increase of prices may best be discussed in terms of labour supply, the growth of the capital stock and the course of profits and wages.

i) Labour supply

20. The relatively slow increase of output cannot be explained by differences in the growth of labour supply between the United

Kingdom and other European countries. For while the average rate of growth of either the total labour force or employment - both have grown in Britain at an annual rate of 0.6 per cent - has been substantially slower than in Germany, Italy and the Netherlands, it has been significantly higher than that prevailing in some of the faster growing countries such as Austria, France, Sweden and Norway. And if, instead of absolute output, comparison is made with the growth of output per head of population, per employed person or per man-hour, the United Kingdom's performance remains relatively modest.

21. The United Kingdom's performance may, however, have been hampered by a certain lack of labour mobility. The last decade has seen certain significant shifts in the industrial structure of the employed population. In particular, within the production sector, there has been an exodus of workers from agriculture, coalmining and textiles, accompanied by a rise in employment in the chemical and metal-using industries. Within the service sector, transport has declined, while employment in distribution and financial and professional services has risen steadily. But unlike many European countries, industry and services in the United Kingdom have had no large pool of under-employed workers in agriculture to draw upon. And there has been a certain lack of labour mobility as between skills, trades and regions which in part has reflected labour attitudes and, in part, a desire by management to hoard manpower. There has been a tendency for labour to resist dismissals - evidenced by the number of strikes related to this cause - and for employers to retain manpower in slack conditions to avoid a deterioration of labour-management relationships and to guard against the possibility of labour scarcity in subsequent expansionary phases. In the motor-vehicles and accessories industries, for example, output fell by 15 per cent between the first quarters of 1960 and 1961, but employment only declined by 2.5 per cent. And between the beginning and end of 1960 the number of workers in manufacturing on short-time rose from 40,000 to 140,000. The recruitment problems of the expanding sectors have thus been increased.

ii) The growth of the capital stock

22. The share of "productive" investment (defined as non-residential construction, machinery and equipment) was considerably lower at the beginning of the period than in most industrialised European countries; it rose over the decade from 10 to 13 per cent of G.N.P., but it was still substantially lower at the end of the period than in the United Kingdom's main continental competitors. (There was a further sharp rise in productive investment in 1961.) This had two effects. First the increase in capital per worker has been lower. Second, in a slowly-rising capital stock the proportion of new to old equipment is smaller than in a fast-rising one, so that the average quality tends to be inferior both on account of wear and tear and of technical obsolescence.

Table 3. SHARE OF "PRODUCTIVE" INVESTMENT IN GROSS NATIONAL PRODUCT AT CURRENT MARKET PRICES

Per cent

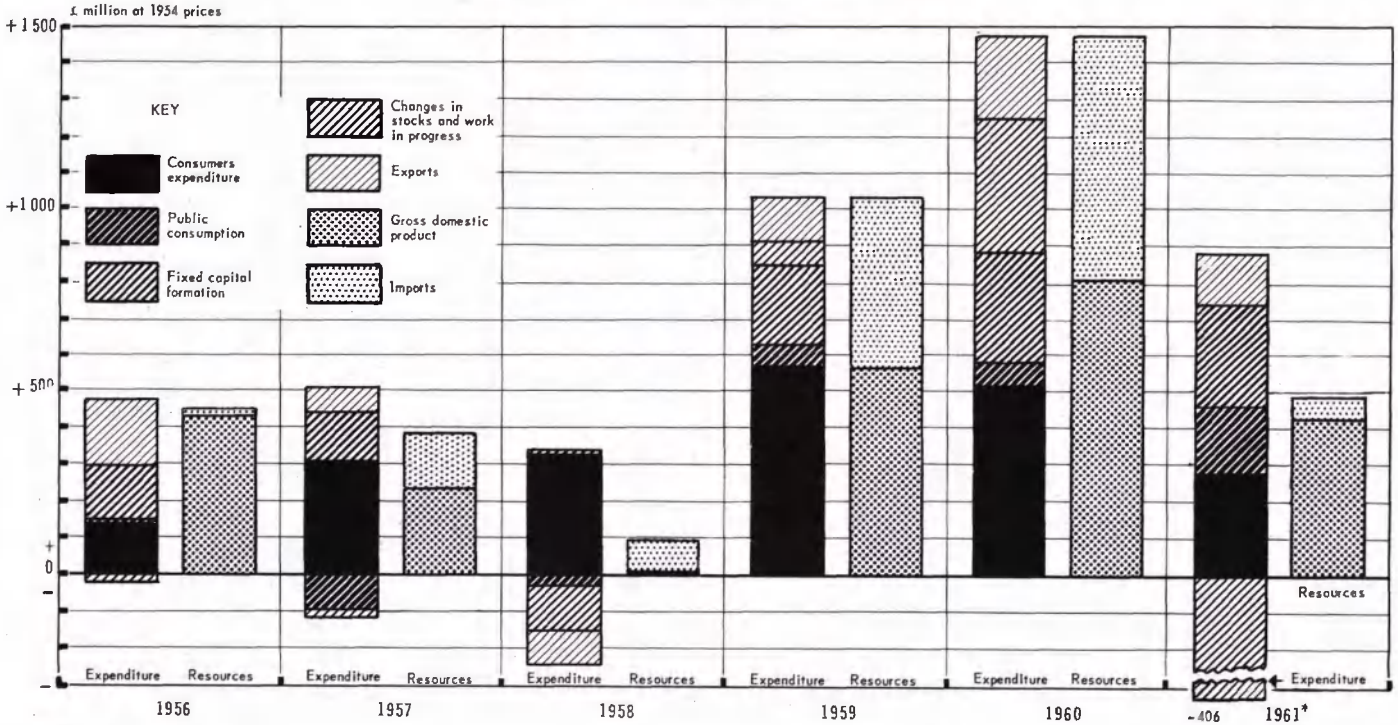
	UNITED KINGDOM	E.E.C. COUNTRIES
	AVERAGES	
1950-52		
Non-residential construction ..	3	5
Machinery and equipment	7	9
Total	10	14
1950-60		
Non-residential construction ..	4	6
Machinery and equipment	7	9
Total	11	15
1958-60		
Non-residential construction ..	5	6
Machinery and equipment	8	10
Total	13	16

SOURCE : O.E.E.C., General Statistics, July 1961.

23. The relatively lower share of productive investment in the United Kingdom may have reflected a certain lack of confidence on the part of business. Private investment decisions are mainly determined by the views which business takes on final demand prospects and, more particularly, on their competitive position vis-à-vis foreign producers. If costs and prices are seen to be rising faster at home than abroad, business confidence in the profitability of expanding capacity will begin to weaken, partly because growing export prospects will seem more remote, and partly because there will be the constant fear, bred from experience, that the government may be obliged, for balance of payments reasons, to restrict any very significant increase of home demand. In this sense, slow growth and modesty in investment decisions may progressively react on one another ; an insufficiently keen competitive situation may tend to hold down investment and this, in turn, may tend to weaken the international competitive situation.

24. In addition, two other factors may have restricted the elasticity of supply in the fifties. The first is the irregular pattern of expansion : the growth of output during the fifties was confined to short periods of time and was abrupt when it did occur. Given this, it is not surprising that the growth of the investment goods industries was also irregular and that they

Diagram 3. CHANGES IN EXPENDITURE AND OUTPUT



* Estimate.

SOURCE : Central Statistical Office, Secretariat estimates.

soon became a bottleneck hindering the growth of output. In the second place, it is remarkable that throughout practically the whole of the fifties the change in the pressure of demand for labour has been so slight, so that periods of expansion have led rapidly to acute labour shortages. This suggests that the investment undertaken has not been of a sufficiently capital-deepening character, possibly because the availability of labour has been over-estimated by industry.

iii) Profits and wages

25. But while productivity has risen more slowly in the United Kingdom than in most of the industrialised European countries, the same has not been true of money incomes. These, in fact, have risen appreciably faster than productivity, with a consequent increase in unit costs. Similar trends have been observed on the Continent, but to a smaller extent except in the case of France, where resort to devaluation proved eventually to be necessary. As Table 4 indicates, both gross profits and wages rose substantially more than manufacturing output in the United Kingdom throughout the 1950's.

26. The main increase in profits per unit of output has, generally, coincided with the periods of expanding output; in the stagnation periods of 1950-1952 and 1955-1958 profits per unit rose very little. The increase of wages, on the other hand, while generally steepest when the labour market has been most strained, has remained high even when the demand for manpower has slackened. The persistence of "autonomous" wage pressure would seem to indicate that the avoidance of excessive demand, while important from many points of view, is not in itself a sufficient condition for avoiding inflationary pressures.

27. Hourly earnings in manufacturing rose by an average of 6.8 per cent a year between 1950 and 1960, with rather limited annual fluctuations around this average. A 22 per cent increase between October 1952 and October 1955 led to no very important change in unit labour costs, because during these years production and productivity in manufacturing were rising at virtually the same rate. But although output and productivity stagnated between October 1955 and October 1958, hourly earnings rose by 18 per cent, with a consequent increase in industrial costs. In the expansionary period from October 1958 to April 1960, hourly earnings rose by 10 per cent, but this was slightly more than offset by rising productivity. It must be supposed that the rapid rise of productivity in this period represented largely a catching up of the gains in potential productivity accumulated in the preceding period. But over the next twelve months, when production showed virtually no further increase, earnings and labour costs both rose by a further 6 per cent.

Table 4. CHANGES IN INCOMES, PROFITS AND OUTPUT IN MANUFACTURING INDUSTRY

1950-60

	1950	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960
Output (factor cost, 1954 prices	88	92	88	94	100	106	106	108	107	114	123
Income from employment	71	80	86	93	100	111	120	127	132	138	150
Gross profits.....	78	92	80	88	100	109	109	115	113	127	137
Income from employment per unit of output	81	86	98	99	100	104	113	118	123	121	122
Gross profits per unit of output	89	100	91	94	100	102	102	106	106	111	111

SOURCE : Secretariat estimates based on National Income and Expenditure ; 1961.

28. The factors behind the "autonomous" wage trend are complex, and to an important extent, of a sociological and institutional nature. The trade union movement is certainly stronger and more militant than in many other comparable industrial countries ; unofficial organisation at the individual factory level is also an important and effective source of pressure. The pattern for each wage round is often set by a key agreement in an individual industry. And between wage-rounds the phenomenon of "wage-drift" (the extent by which actual earnings rise faster than basic agreed rates of pay) has, as in certain other countries, been considerable.

29. In short, pressure for higher money incomes has been permanent in the United Kingdom over the period and has resulted in increases which could not be absorbed without increases in unit costs. Restrictions upon demand, given the limits placed on such a policy, have not provided a satisfactory solution. Hence the Government's decision to seek new arrangements whereby increases in money incomes may be more closely linked with the improvement in productivity.

IV. BALANCE OF PAYMENTS

30. A number of rather separate causes have contributed, in recent years, to the difficult position on external account. Net earnings on private invisible account have shrunk abruptly. Net long-term exports of private capital have remained heavy. Government expenditure abroad, both current and capital, has been rising. These changes in the invisible and long-term balance have not been matched by any improvement in the visible balance. Finally, there have been violent fluctuations in short-term capital movements.

i) Exports

31. The weakness of the visible balance is attributable mainly to the slow rise in exports ; the increase in imports has been erratic but, as noted in paragraph 15, does not appear to have been notably higher in relation to the growth of output than in other European countries. British exports have risen much more slowly in the last decade than those of continental countries, and they have represented a smaller percentage of the increase in total demand. Although domestic demand pressure has at certain times inhibited the expansion of exports, it has not at all times been the main problem. Periods of rising home demand in 1955 and 1959 were, indeed, accompanied by rising exports.

32. The geographical structure of the United Kingdom's export trade, and in particular the relatively slow growth of overseas sterling area markets, has probably constituted some

Table 5. EXPORTS OF MANUFACTURES, BY MARKETS, 1960 AND PERCENTAGE CHANGES BETWEEN 1954 AND 1960

EXPORTS OF MANUFACTURES FROM	EXPORTS TO :							
	NON-O.E.E.C. STERLING AREA (i.e. excluding United Kingdom, Iceland and Ireland)		O.E.E.C. (including Spain)		UNITED STATES AND CANADA		LATIN AMERICA	
	1960 U.S. DOLLARS BILLION	% CHANGE 1954-60	1960 U.S. DOLLARS BILLION	% CHANGE 1954-60	1960 U.S. DOLLARS BILLION	% CHANGE 1954-60	1960 U.S. DOLLARS BILLION	% CHANGE 1954-60
United Kingdom.....	3.3	+12	2.3	+39	1.2	+105	0.4	+52
United States 1).....	1.2	+95	3.3	+158	2.6	+35	2.6	+3
European Economic Community.....	1.6	+88	12.7	+124	2.2	+174	1.4	+29
Japan	0.9	+136	0.3	+240	1.1	+410	0.3	+42
Total (of the above countries)	7.0	+46	18.6	+114	7.1	+100	4.7	+15

1) Excluding United States Special Category Exports.

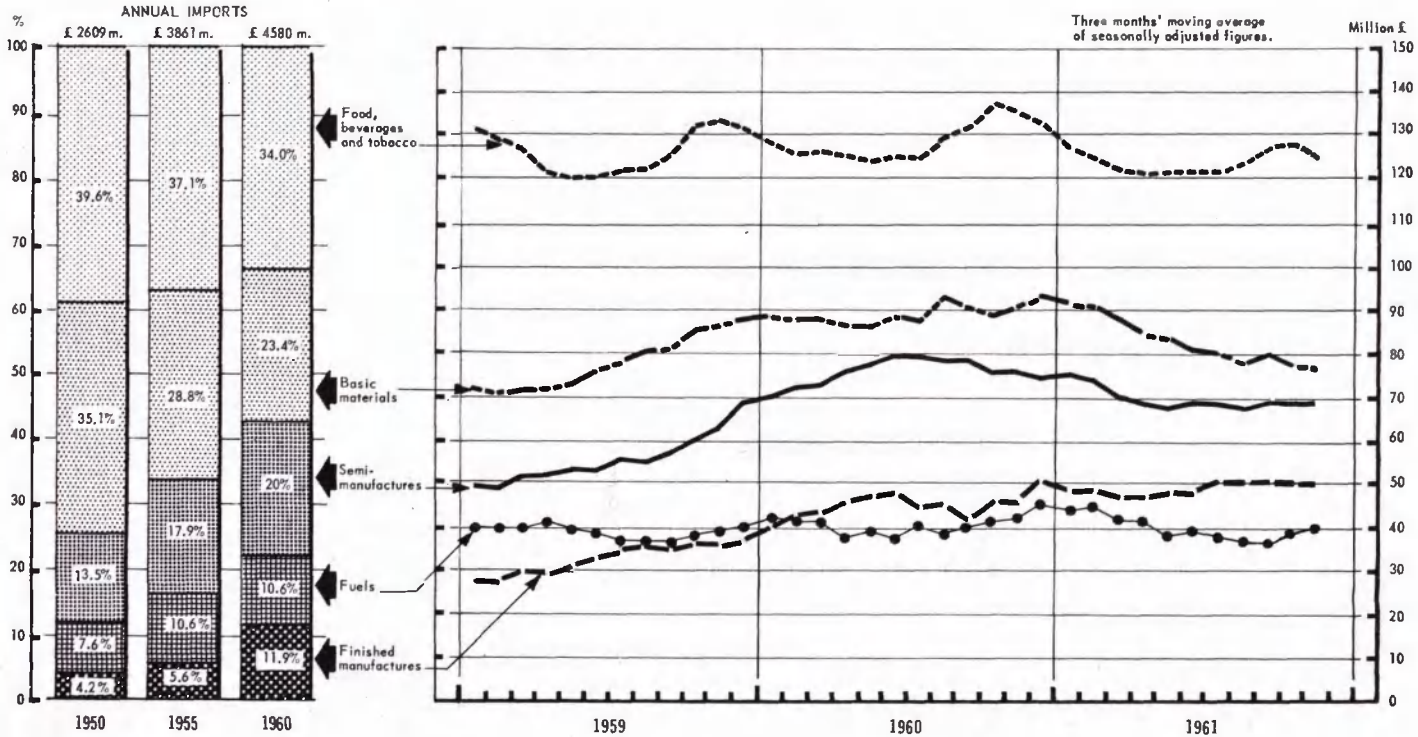
drag on the expansion of exports. A factor making for a decline in the United Kingdom's share of overseas sterling area markets has been the gradual erosion of the tariff preferences and quota discrimination which previously favoured British exports. On industrial markets in Europe and, in particular, in North America, the United Kingdom's performance has been better. As a result, the share of exports going to the overseas sterling area fell from 49 to 38 per cent between 1954 and 1961, whilst the share going to Western Europe and North America rose from 38 to 46 per cent. During the same period the composition of exports also changed, the proportion of engineering products and especially machinery rising at the expense of exports of textiles, food, fuels and basic materials. Nevertheless, the switch to the more rapidly expanding markets has not proceeded sufficiently fast. A major explanation of the inadequate increase of exports must be sought in the complex of factors making for "export competitiveness"; this includes market research, salesmanship and after-sales services, where British exporters have fallen behind some of their continental rivals, but a major factor must lie in the field of costs and prices.

ii) Imports

33. Imports of raw materials and semi-finished manufactures into the United Kingdom fluctuate strongly with movements of home demand. The impact on raw material imports of variations in the rate of change of industrial production can be amplified or prolonged considerably by inventory policy ; thus in 1960 the sharp rise in imports was largely caused by restocking after the previous year's rapid expansion of production had reduced stocks to an abnormally low level in relation to output. The inelasticity of output has also played a role when, as in 1959, demand has risen extremely fast and bottlenecks have appeared, notably in semi-finished goods such as sheet steel.

34. The behaviour of imports of finished manufactures has been rather different. There was a continuous increase between 1954 and 1961, though the rate of growth was more rapid in 1959 and 1960 than in the remainder of the period. This expansion, which has been reinforced by progressive measures of liberalisation, has been experienced by all major industrialised countries - and, indeed, furnishes a major explanation for the steady increase in trade between them. What may, however, be significant is the fact that, in recent years, the rise of imports of manufactures into the United Kingdom has been faster than that into most European countries (see Table 6). This relatively steep upward trend appears all the more striking in view of the fact that the United Kingdom has had a much lower rate of overall growth than the continental countries (while imports into Germany were stimulated by the unilateral tariff cuts of 1956). It lends support to the view that British industry has experienced some decline in competitiveness in recent years.

Diagram 4. IMPORTS BY COMMODITY GROUP



Source : Board of Trade.

Table 6. INCREASES IN IMPORTS OF MANUFACTURES, 1955 TO 1960

(Percentage changes based on value data)

	SEMI-FINISHED 1)	FINISHED 2)
United Kingdom	35	155
Germany	108	340
France	80	80
Italy	122	102
European O.E.C.D. countries ..	60	103

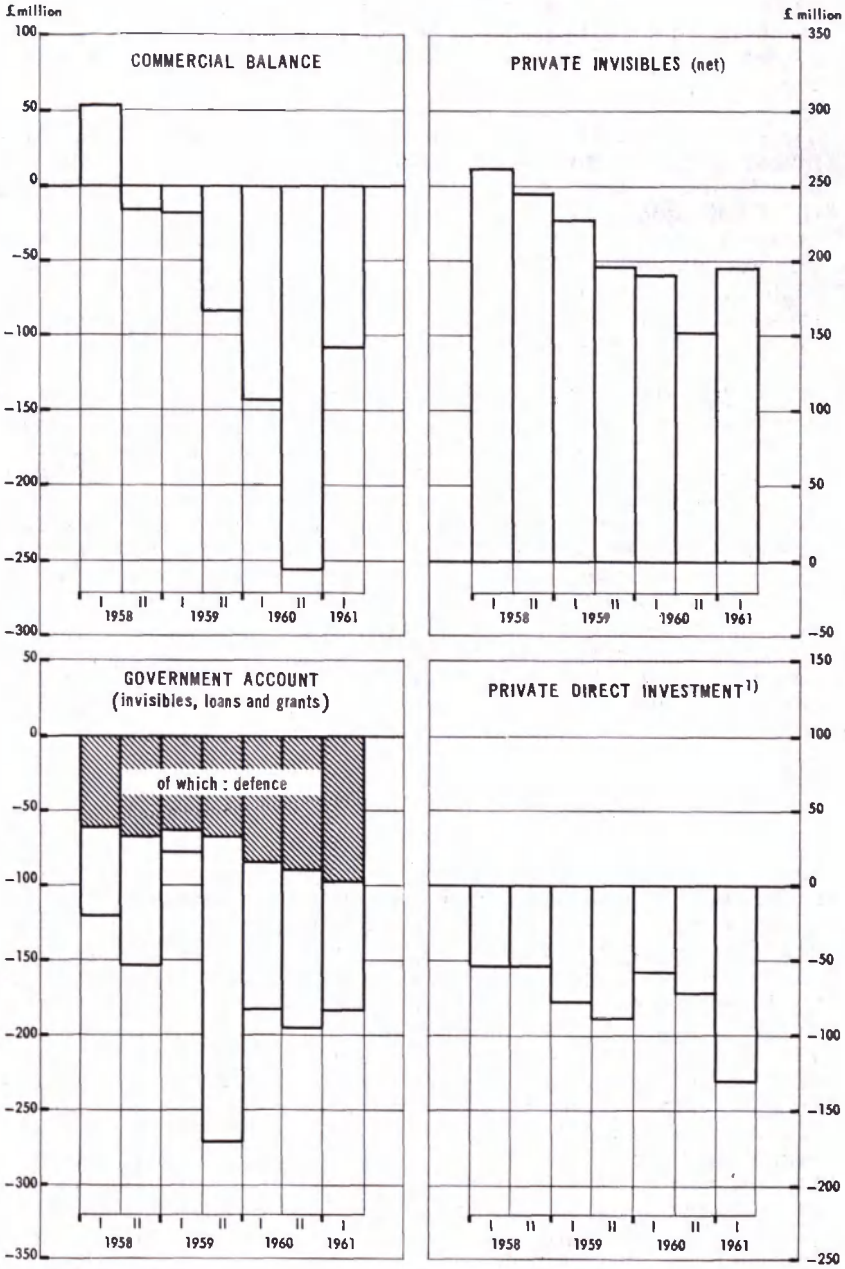
1) Sections 5 and 6 of the S.I.T.C.
2) Sections 7 and 8 of the S.I.T.C.
SOURCE : O.E.C.D. Trade Bulletins.

iii) Invisibles and capital balance

35. The urgent need to increase exports by a substantial margin is reinforced by the recent fall in invisible earnings and the rise in net payments on private capital and on government current and capital account. In 1958, net private invisible receipts were £508 million. By 1960 they had fallen to £343 million, and this represented more than a cyclical change. The balance on shipping account was transformed from a credit of £50 million to a debit of £58 million in the two years. Even if a further decline can be avoided, a rapid upturn is unlikely. Receipts from the overseas operations of oil companies also seem to have fallen ; the trend of petroleum prices, given the existing world market situation, holds out little prospect for an increase in these earnings in the near future (although reduced capital expenditure by the petroleum companies may relieve the capital balance). Partly as a result of this, total net receipts from interest, profits and dividends have also fallen. At the same time, government current overseas expenditure has risen appreciably, from £223 million in 1958 to an annual rate of £342 million in the first half of 1961. The United Kingdom Authorities are at present seeking new arrangements within N.A.T.O. to limit the net cost of this item. The Government is also encouraging British firms operating overseas to repatriate a larger percentage of their overseas earnings.

36. If the rise in government capital exports, mainly for underdeveloped areas, is included, it would appear that the rise in total net government expenditure overseas since 1958, excluding special receipts such as the advance payment of £45 million by

Diagram 5. BALANCE OF PAYMENTS 1958-1961



1. *Excluding Ford deal.*

SOURCE : U.K. Balance of Payments White Papers.

Germany in the first half of 1961, but taking account of repayments on the United States and Canadian loans, which fall due at the end of each year, has been of the order of £200 million.

37. Private capital items, including both direct and portfolio investment, are too heterogeneous for the overall trend to be significant. Receipts from foreign direct investment in the United Kingdom have not kept pace with the rise in direct investment abroad by British companies and net outgoings on this account rose from £57 million in 1958 to an annual rate of £218 million in the first half of 1961 (excluding receipt of £130 million from the Ford deal). It is difficult to determine, however, whether this rise will be permanent.

38. Thus the problem of the United Kingdom's balance of payments has been tending to grow more difficult, rather than easier, in recent years. Since 1958 net receipts from private invisibles have no longer been sufficient to cover both net total government expenditure and net long-term private capital exports. A continuing surplus on trade account is therefore required if a satisfactory "basic" balance is to be achieved. Helped by the exceptional circumstances then prevailing in the United Kingdom the visible account may have shown an approximate balance in the fourth quarter of 1961. But a substantial increase in exports will be required to allow for the renewed rise in imports which will occur when the expansion of economic activity is resumed and to cover the net outflow of long-term capital, and the repayment of the I.M.F. drawing.

iv) Short-term capital and sterling balances

39. These considerations take no account, however, of either short-term capital movements or the role of the sterling balances to which they are linked. Given the role of sterling as a reserve currency, and the multiple influences which affect the country's short-term external liabilities, policy-making in the United Kingdom is highly sensitive to changes in these items.

40. Since the end of the war, the relation between the United Kingdom's gold and convertible currency reserves and the sterling balances has been highly unfavourable.* It should be regarded as normal, in the case of a reserve currency, for assets to be exceeded by liabilities. But since the end of the war the ratio for the United Kingdom has generally been as high as 1 : 5.** Although the structure of ownership of the sterling balances has changed considerably since 1945, their overall

* For convenience the gold and convertible currency reserves and the sterling balances are taken as representing the United Kingdom's short-term external assets and liabilities, although in reality both are thought to be under-estimated in this way.

** Cf. Radcliffe Committee, Memoranda Vol. 1, p.12, H.M.S.O. 1960.

Table 7. BALANCE OF PAYMENTS

£ million

	1958	1959	1960	1960 JANUARY-JUNE	1960 JULY-DECEMBER	1961 JANUARY-JUNE
I. CURRENT ACCOUNT						
1. Visible trade :						
Imports (f.o.b.)	3,357	3,609	4,110	2,051	2,059	2,071
Exports (f.o.b.)	3,392	3,509	3,712	1,908	1,804	1,963
Balance	+35	-100	-398	-143	-255	-108
2. Invisibles (net) :						
Public, total	-223	-232	-284	-142	-142	-171
of which : Military	-128	-131	-171	-83	-88	-98
Net private : total	+508	+422	+343	+191	+152	+196
of which :						
Shipping	+50	+3	-58	-20	-38	-30
Interest, profits and dividends	+293	+260	+238	+118	+120	+143
Balance	+285	+190	+59	+49	+10	+25
3. Current balance	+320	+90	-339	-94	-245	-83
II. LONG-TERM CAPITAL						
Net inter-government loans[1]	-49	-117	-94	-39	-55	-11
Subscriptions to I.M.F., I.D.A. and European Fund	-	-236	-10	+1	-11	-
Private investment :						
Abroad	-330	-335	-329	-169	-160	-195
In the United Kingdom	+193	+209	+237	+69	+168	+160[2]
Balance of long-term capital	-186	-479	-196	-138	-58	-46
III. BALANCE OF CURRENT AND LONG-TERM CAPITAL TRANSACTIONS	+134	-389	-535	-232	-303	-129
IV. BALANCING ITEM[3]	+66	+10	+364	+183	+181	+97
V. BALANCE OF MONETARY MOVEMENTS						
Overseas sterling holdings						
Total	+58	+236	+224	+63	+161	-179
of which :						
Non-territorial organisations	-22	+82	-156	-44	-112	+3
Other official	-117	+98	+40	+51	-11	+109
Private	+197	+56	+340	+56	+284	-291
Gold and convertible currency reserves	-284	+119	-117	-56	-121	+164
Other monetary movements	+26	+24	+124	+42	+82	+47
Balance of monetary movements	-200	+379	+171	+49	+122	+32

1) Including "Other Official". First half 1961 includes £45 million received from Germany.
2) Includes receipts of £131 million from the Ford deal.
3) Errors and omissions.
SOURCE : United Kingdom Balance of Payments 1958-1961, Cmd. 1506.

total has remained fairly constant at about £4 billion. By the mid-1950's it appeared that the situation had been stabilized to the extent that exceptional balances due to the war, for example those owned by India and Egypt, had been run down, whilst the countries where increases had occurred were less likely to run them down sharply. Since then, however, fresh changes have taken place. By the end of 1960, the share of sterling countries in the total had fallen to 56 per cent, compared with 68 per cent at the end of 1955, and many of these countries were incurring sizeable balance of payments deficits as the result of their development schemes. On the other hand, there had been a rapid growth of balances belonging to private overseas residents outside the sterling area from £374 million at the end of 1955 to £778 million five years later.* There was a particularly sharp increase in these balances of £300 million during 1960. This change in the structure of the sterling balances reflects the reconstitution of the international short-term capital market and the return to external convertibility and has considerably increased the scope for speculative capital movements. Indeed, private sterling balances fell by over a quarter, or £212 million, during the first half of 1961. Under these circumstances, external trends exert a far more powerful effect on economic policy in the United Kingdom than in other industrial European countries.

41. The problem of the United Kingdom's balance of payments can only be solved by adequate longer-term measures : short-term measures can only provide a temporary alleviation. The deterioration in the private invisible balance, which is unlikely to recover substantially in the near future, and the constant tendency for government outlays overseas to rise have put an increasing emphasis on the need to improve the visible trade balance. The factors determining the course of visible trade are closely linked with the fundamental trends discussed in previous parts of this report, notably in the field of costs and prices.

V. CURRENT PROSPECTS

42. The short-term prospects in the United Kingdom are for some rise in output accompanied by a further improvement in the basic elements of the balance of payments. The course of output will depend on how demand moves, as unused margins of capacity in industry are now larger than a year earlier and - although there are still certain shortages of skilled manpower particularly in engineering - pressure on the labour market has declined. In the public sector, demand for both consumption and investment will be rising. The rise in estimated public current expenditure in the fiscal year 1962-63 will be restricted to 4.5

* These and subsequent figures in this paragraph exclude the Ford transaction.

per cent in real terms. Public investment expenditure, including the nationalised industries and the local authorities, is due to rise by 5 per cent. Private non-residential investment seems to have reached its peak for the time being, in the third quarter of 1961. Private housebuilding may rise a little.

43. The trend in the rate of stockbuilding was sharply downwards in 1961. By the third quarter total stocks were no longer rising ; a fall in distributors' stocks offsetting the continued increase in manufacturing stocks, part of which may have been involuntary. While the reduction in distributors' stocks is working back through the pipeline, total stocks are unlikely to rise ; but later in the year, as output increases, there should be some rise.

44. The trend of consumers' demand, declining slightly in real terms since mid-1961 under the combined influence of higher prices and a continuing high savings level, will largely depend on fiscal policies and the course of employment, wages and prices in the months immediately ahead. The pay pause has delayed until the early months of 1962 a large part of the new wage round which would otherwise have occurred in 1961, but one result of this is that rather strong pressures for wage and salary increases are now being built up. The Government's intention is that although it would be inappropriate to continue the absolute pause into the new financial year, a very considerable measure of restraint should be maintained pending the establishment of more durable arrangements for the better co-ordination of changes in money incomes with the course of productivity.

45. Overseas demand in 1962 should, on the whole, be favourable to an expansion of British exports. Markets in the United States should continue to improve and prospects on the Continent should permit a continued rise in exports from the United Kingdom. Improved balance of payments conditions in the rest of the sterling area should offer similar scope. But the extent to which, beyond the months immediately ahead, British exporters are able to take advantage of any continuation of these opportunities will depend on price considerations. While the upward trend in prices in some continental countries may facilitate the task of British industry in this respect, no substantial improvement in the situation would seem possible unless British costs are held at least very steady in the coming months.

46. The hoped-for increase of exports is essential to any further improvement in the balance of payments in 1962. In the course of 1961, the improvement of the visible balance came mainly from falling imports ; this probably came to an end in the later months of 1961, and if output rises in 1962 some reversal of the movement is probable. It is difficult to forecast movements on identified private invisible and long-term capital account or on net Government transactions. But it is likely that,

without further special government receipts, these elements taken together will again show a substantial deficit in 1962, and it is improbable that visible trade will move sufficiently into surplus to produce an equilibrium on identified current and long-term capital account (item III of Table 7). Under these conditions the stability of the gold and convertible currency reserves will depend on the extent to which the "balancing item" (which in part may reflect unrecorded receipts from the sale of goods and services) produces a further surplus, and on any continued inflow of short-term capital. It should be noted in this connection that Bank rate was reduced to 6 per cent in two stages in the latter part of 1961 and to 5.5 per cent in March 1962.

VI. CONCLUSIONS

47. Under present circumstances the primary aim of economic policy must be to strengthen the balance of payments, and it is unlikely that, in 1962, it will be possible very substantially to relax the measures now restraining the growth of internal demand. Indeed, without these measures the economy would not have sufficient margin to enable external equilibrium to be restored on any satisfactory and lasting basis. It was essential to ensure that the capacity to provide higher exports existed. But it is equally important that full advantage should be taken of the breathing-space thus provided to set on foot the more fundamental adjustments which the economy requires. The experience of the economy in the 1950's suggests that the restriction of domestic demand is not a sufficient condition for achieving the desired combination of a more rapid rate of growth, a stronger external position and a more stable price level. Thus, for instance, the restrictions between 1955 and 1958, when demand did not rise, and investment in plant and machinery was expanding only slowly, helped to restore external equilibrium ; but this was followed, once restrictions were removed, by a period of expansion which only lasted about one year and led rapidly to a renewed increase in prices and a deterioration in the balance of payments.

48. Escape from this apparent impasse lies in the achievement of a steady and significant export rise as the major dynamic element in new economic growth. The United Kingdom will not achieve this without improving its international competitive position. Hence the importance, under present circumstances, of keeping production costs steady and, indeed, of reducing them wherever possible. And this requires, in the first place, that money incomes should henceforth rise no more than the growth of productivity over the economy as a whole - and that the benefits of rising productivity should be absorbed to a smaller extent than previously by rising money incomes and to a rather greater extent by a lowering of prices.

49. The Government's policies in respect of incomes and profits are thus of cardinal importance for the future expansion of the United Kingdom economy. The wage and dividend pause requested in July had a useful initial effect ; the damage done to the principle of the pause by the few exceptions that took place was small. The really important task from now on lies in establishing a more lasting policy to succeed it. The problem for the Government and for both sides of industry is to evolve a more permanent system for the determination of money incomes which is accepted as just and reasonable by the community as a whole and which, in conditions of full employment and steady growth, can assure the maintenance of a satisfactory competitive situation in international trade. Such a system will entail that the Government adopts a more positive attitude than in the past to the process of income determination.

50. If steps can be taken to improve the competitive situation and prevent money incomes rising too fast thereafter, the United Kingdom economy should be in a position to embark upon a process of more adequate and steady growth than in the past. This will need to be supported by steps to ensure not only a higher overall level of productive investment, but also a sufficient co-ordination of investment plans to secure a more rational use of available resources. The role of the newly-established National Economic Development Council will be of great importance in this respect. It will be essential that, in all its operations, such a body should pay primary attention to the problems of external balance and particularly to the increase of exports.

51. Government action to encourage the more rational use of manpower can also help to stimulate a greater responsiveness of output to changes in the volume or pattern of demand. There is a wide field over which official action can be intensified - often in a quite detailed and unsensational manner - to increase the mobility of labour. New measures to discourage the hoarding of labour, to facilitate inter-firm and inter-industry shifts and to increase the total supply of skilled manpower, need to be evolved. These may include better training facilities, the modification of certain apprenticeship arrangements and other restrictive practices, and the provision of financial incentives and special housing facilities to workers changing jobs.

52. Progress towards these aims needs to begin at once if adequate advantage is to be taken of the temporary relief which the emergency measures of last July have afforded to the balance of payments. The prospect of full membership of the Common Market, with the rights and obligations thereby involved, renders such progress of particular importance. At the same time, membership should materially help the United Kingdom economy in the task of maintaining cost and price stability by the introduction of a more competitive atmosphere into British industry.

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STATISTICAL ANNEX

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Table I. EXPENDITURE ON THE GROSS DOMESTIC PRODUCT

£ million at current prices

	1956	1957	1958	1959	1960	1960				1961		
						1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER
Consumers' expenditure	13,706	14,430	15,171	15,890	16,608	3,872	4,160	4,168	4,408	4,008	4,305	4,368
- durables	885	1,006	1,156	1 352	1 363	371	378	314	300	324	365	310
- other	12,821	13,424	14,015	14,538	15,245	3,501	3,782	3,854	4,108	3,684	3,940	4,058
Public authorities' current expenditure	3,493	3,602	3,713	3,940	4,189	1,053	1,025	1,007	1,104	1,184	1,105	1,117
- civil	1,868	2,050	2,184	2,398	2,592	624	654	634	680	717	711	699
- military	1,625	1,552	1,529	1,542	1,597	429	371	373	424	471	395	418
Gross fixed capital formation	3,104	3,379	3,495	3,714	4,101	995	968	1,022	1,116	1,087	1,081	1,144
- public	1,379	1,474	1,474	1,574	1,660	431	364	419	446	463	422	470
- private	1,725	1,905	2,021	2,140	2,441	564	604	603	670	624	659	674
Increase in stocks and work in progress	291	269	123	179	591	167	211	151	62	160	122	20
Exports of goods and services	4,584	4,821	4,684	4,821	5,114	1,296	1,306	1,237	1,275	1,315	1,363	1,301
Total final expenditure	25,178	26,501	27,186	28,544	30,603	7,383	7,670	7,585	7,965	7,754	7,976	7,950
less : Imports of goods and services	4,593	4,813	4,585	4,915	5,606	1,377	1,393	1,422	1,414	1,434	1,413	1,389
Gross domestic product at market prices	20,585	21,688	22,601	23,629	24,997	6,006	6,277	6,163	6,551	6,320	6,563	6,561

SOURCE : National Income and Expenditure 1961, and Monthly Digest of Statistics.

Table II. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

	UNIT OR BASE	1956	1957	1958	1959	1960	1961	1960 1st QUARTER	1960 2nd QUARTER	1960 3rd QUARTER	1960 4th QUARTER	1961 1st QUARTER	1961 2nd QUARTER	1961 3rd QUARTER	1961 4th QUARTER	1961 OCTOBER	1961 NOVEMBER	1961 DECEMBER
INDUSTRIAL PRODUCTION [1]	1958 = 100																	
All industries		100	101	100	105	112	114	112	113	113	112	113	115	115	112	112	113	112
Manufacturing		100	102	100	106	115	115	114	115	116	114	114	116	117	112	112	112	112
Construction		100	100	100	106	111		110	111	111	113	117	120	119				
Mining		105	104	100	97	94		96	93	94	93	91	93	95		95	96	
MANPOWER [2]																		
Total civil employment [3]	'000	23,149	23,245	23,080	23,1[illegible]	23,628	23,865	23,370	23,628	23,835	23,711	23,710	23,865	24,008	23,923	24,076	24,094	23,923
Total industrial employment [1]	1954 = 100	102.9	103.0	101.5	101.[illegible]	104.1		103.1	103.9	104.7	104.8	104.9	105.1	105.4		105.4	105.3	
Unemployment [1)4)5)]	'000	287	347	501	512	393	377	417	384	380	389	370	341	373	427	432	424	424
Unemployment as percentage of total employees [6]	%	1.19	1.43	2.10	2.[illegible]	1.60	1.51	1.70	1.56	1.55	1.59	1.49	1.36	1.48	1.74	1.75	1.74	1.73
Unfilled vacancies [1)5)]	'000	357	276	198	224	314	319	277	320	329	322	319	346	332	278	294	278	260
Average weekly hours [7]	No.	48.2	48.1	47.6	47.[illegible]	47.4	47.3	..	47.4	..	47.4	..	47.3	..				
ORDERS AND RELATED DATA																		
Engineering industry, new orders	Average 1958 deliveries = 100																	
- for home market				93	106	123	124	139	121	117	120	146	124	111	113	117	110	111
- for export				88	103	122	122	132	113	118	125	133	115	116	125	125	131	117
Engineering industries, deliveries	"																	
- for home market				100	105	115	121	116	114	106	121	119	126	118	129	132	128	126
- for export				100	102	111	117	111	109	102	122	119	118	108	123	116	125	129
Engineering and electrical industries orders on hand (end of period)	December 1958 = 100																	
- for home market				100	101	118	120	110	113	118	118	129	129	126	120	124	122	120
- for export				100	102	121	127	112	113	121	121	126	124	129	127	130	130	127
Metal working machine tools, orders on hand, (end of period)	£ million	98.4	78.5	54.4	55.[illegible]	105.7		72.4	87.7	98.9	105.7	109.7	113.3	117.2		116.8	117.5	
Merchant shipbuilding, orders on hand, (end of period)	"	6.2	6.6	5.4	4.[illegible]	3.2	2.5	3.9	3.3	3.3	3.2	2.9	2.7	2.6	2.5			2.5
CONSTRUCTION [1]																		
Industrial building, area approved [2]	million sq.ft.	71.1	63.4	45.7	58.[illegible]	88.9	48.1	35.8	19.4	17.9	16.2	16.5	10.7	9.8	10.7			
Housebuilding starts	'000	285	281	263	325	317		76	84	78	78	84	82	79	(79)			
STOCKS [1]	Value of physical increase at 1954 prices																	
Total		261	229	105	166	537		81	179	129	148	56	71	4				
Manufacturing industry		221	172	49	57	475		58	114	149	154	8	29	55				
Other industries		..	-24	29	52	-5		1	16	-15	-7	-7	10	5				
Wholesale trade		..	41	12	13	33		-6	17	16	6	27	8	-21				
Retail trade		15	40	15	44	34		28	32	-21	-5	28	24	-35				
RETAIL SALES [1]	1957 = 100																	
Total			100	103	107	111	115	110	111	111	112	113	115	117	116	115	114	118
Durables			100	105	118	112	112	122	118	108	99	114	119	117	102	102	100	103
Food			100	103	106	109	113	108	108	109	111	111	112	114	116	114	115	118
Passenger cars, new registrations [1]	'000 quarterly rates			139	162	202	184	222	220	216	148	207	208	188	133	131	127	141

1) Seasonally adjusted.
2) Great Britain only.
3) Annual figures relate to June, quarterly figures to end of period.
4) United Kingdom, wholly unemployed and temporarily stopped.
5) O.E.C.D. seasonal adjustments.
6) N.I.E.S.R. seasonally adjusted employment figures (Great Britain only) calculated as percentage of number of employees in May of each year.
7) Male adult workers in manufacturing; annual figures relate to April, others to April and October of period.

SOURCE: Monthly Digest of Statistics, Economic Trends, Board of Trade Journal, N.I.E.S.R. Economic Review, and O.E.C.D. General Statistics.

Table III. INCOMES, COSTS AND PRICES

Indices : 1954 = 100

	1956	1957	1958	1959	1960	1961	1960 1st QUARTER	1960 2nd QUARTER	1960 3rd QUARTER	1960 4th QUARTER	1961 1st QUARTER	1961 2nd QUARTER	1961 3rd QUARTER	1961 4td QUARTER	1961 OCTOBER	1961 NOVEMBER	1961 DECEMBER
WAGES AND PROFITS																	
Weekly wage rates	115.4	121.2	125.4	128.7	132.1	137.5	130.5	131.8	132.5	133.5	136.1	137.0	137.8	139.0	138.9	138.9	139.1
Hourly earnings (April 1956 = 100) 1)	100	104	110	114	122	130	..	122	..	125	..	130	..	134	134		
Income from employment 2)	119.2	126.0	130.8	136.6	147.4		141.1	147.2	150.2	151.0	154.5	159.6	160.3	(162.1)			
Profits of companies and public corporations 2)	112.6	117.4	114.9	128.5	140.9		147.7	146.0	138.1	131.7	142.2	139.6	133.4				
Income from employment per unit of output 2)	114.1	118.4	122.8	122.1	125.2		120.4	125.0	127.4	128.1	130.1	132.7	133.3	(136.2)			
Property income per unit of output 2)	106.3	109.0	111.1	115.1	117.7		120.2	119.8	116.4	114.4	118.8	114.3	112.6				
PRICES																	
Prices of basic materials and fuel used in manufacturing industry	106.7	107.4	100.8	101.7	101.8	100.6	103.0	102.5	101.0	100.9	100.7	101.2	100.5	100.0	99.4	100.0	100.5
Prices of manufactured products, total sales	106.7	110.2	111.0	111.4	113.1	115.7	112.2	112.9	113.5	113.7	114.6	115.2	116.2	116.7	116.5	116.6	116.8
Building costs	110	114	115	113	114		113	114	114	114	116	116	116				
Retail prices, all items	109.7	113.8	117.2	117.8	119.1	123.1	118.1	118.8	119.0	120.3	120.9	122.4	123.9	125.3	124.4	125.7	125.9
Retail food prices	112.2	115.2	117.6	118.8	117.9		117.8	118.1	117.6	118.3	118.0	120.3	120.4	119.9	118.5	120.5	120.9

1) Annual figures are for April; others for April or October of period.
2) Seasonally adjusted.

SOURCE : N.I.E.S.R. Economic Review and Monthly Digest of Statistics.

Table IV. MONEY AND BANKING

	UNIT	1956	1957	1958	1959	1960	1961	1960 1st QUARTER	1960 2nd QUARTER	1960 3rd QUARTER	1960 4th QUARTER	1961 1st QUARTER	1961 2nd QUARTER	1961 3rd QUARTER	1961 4th QUARTER	1961 OCTOBER	1961 NOVEMBER	1961 DECEMBER
Bank rate (end of period)	per cent	5 1/2	7	4	4	5	6	5	6	6	5	5	5	7	6	6 1/2	6	6
Treasury Bill rate of discount	per cent	4.95	4.81	4.56	3.38	4.89	5.14	4.40	4.71	5.57	4.85	4.35	4.45	6.15	5.47	5.95	5.41	5.35
Average yield of 2 1/2 per cent Consols	per cent	4.73	4.98	4.98	4.82	5.42	6.20	5.20	5.41	5.57	5.53	5.82	6.06	6.52	6.46	6.40	6.43	6.56
Currency circulation with the public	£ million	1,765	1,842	1,905	1,969	2,062	2,150	1,989	2,059	2,100	2,103	2,084	2,144	2,186	2,186	2,156	2,166	2,235
New capital issues (gross)	£ million	305.0	391.5	387.4	511.6	573.5	692.5	127.0	148.7	146.9	150.9	154.0	155.0	254.4	128.1	62.0	35.2	30.9
Hire purchase debt outstanding (end of period)	£ million	..	..	556	849	935	927	909	956	952	935	934	957	953	927	942	931	927
New hire purchase credit extended (during period)	£ million	..	..	652	933	829	805	242	231	183	173	201	235	200	169			
LONDON CLEARING BANKS																		
Current accounts	£ million	3,932	3,905	3,769	4,064	4,207	4,157	4,123	4,203	4,146	4,296	4,069	4,234	4,095	4,166	4,124	4,091	4,166
Time deposits	£ million	2,008	2,139	2,442	2,431	2,515	2,638	2,438	2,470	2,566	2,588	2,566	2,615	2,663	2,711	2,698	2,718	2,711
Other deposits	£ million	348	389	425	441	513	600	486	494	496	639	554	592	601	678	614	642	678
Total liquid assets	£ million	2,218	2,256	2,255	2,277	2,299	2,437	2,217	2,253	2,276	2,399	2,187	2,394	2,522	2,666	2,601	2,585	2,666
Total liquid assets	% of deposits	35.3	35.1	34.0	32.8	31.8	32.9	31.5	31.4	31.6	31.9	30.4	32.2	34.3	35.3	35.0	34.7	35.3
Investments	£ million	1,878	2,008	2,149	1,836	1,407	1,122	1,501	1,376	1,312	1,288	1,187	1,084	1,048	1,119	1,098	1,113	1,119
Investments	% of deposits	31.5	31.2	32.4	26.5	19.5	15.2	21.3	19.2	18.2	17.1	16.5	14.6	14.3	14.8	14.8	14.9	14.8
of which Government securities	£ million	...	..	..	1,718	1,277	1,009	1,368	1,245	1,183	1,159	1,074	972	936	1,007	986	1,001	1,007
Advances	£ million	1,820	1,868	1,923	2,522	3,123	3,357	3,006	3,134	3,203	3,229	3,354	3,497	3,318	3,209	3,249	3,230	3,209
Advances	% of deposits	28.9	29.0	29.0	36.4	43.2	45.4	42.7	43.7	44.4	42.9	46.6	47.0	45.1	42.5	43.7	43.4	42.5

1) Average of last month of quarter or month; annual figures are monthly averages.

SOURCE : Monthly Digest of Statistics.

Table V. FOREIGN TRADE ND PAYMENTS

	UNIT OR BASE	1956	1957	1958	1959	960	1961	1960 1st QUARTER	1960 2nd QUARTER	1960 3rd QUARTER	1960 4th QUARTER	1961 1st QUARTER	1961 2nd QUARTER	1961 3rd QUARTER	1961 4th QUARTER	1961 OCTOBER	1961 NOVEMBER	1961 DECEMBER
Imports c.i.f.[1]	£ million	321.8	337.0	312.3	331.9	9.9	366.5	375.2	380.4	373.1	391.0	385.3	372.2	347.9	360.8	378.0	373.0	338.3
Imports c.i.f. seasonally adjusted	£ million							369	375	385	390	385	362	357	362	378	359	350
Exports f.o.b.[2]	£ million	273.8	285.4	276.5	288.4	8.1	320.1	319.9	312.5	285.1	314.8	325.5	324.7	304.9	325.0	332.4	332.3	311.4
Exports f.o.b. seasonally adjusted	£ million							315	306	303	307	321	318	324	317	323	319	311
Merchandise balance[1]	£ million	- 48.0	- 51.6	- 35.8	- 43.5	1.8	- 46.4	- 55.3	- 67.9	- 88.0	- 76.2	- 59.8	- 47.3	- 43.0	- 35.5	- 45.6	- 40.7	- 26.9
Current balance of payments	£ million	+ 187	+ 202	+ 320	+ 90	9		- 44	- 50	- 136	- 109	- 68	- 15	- 25				
Balance of long-term capital	£ million	- 241	- 183	- 186	- 479	6		- 53	- 85	- 51	- 7	+ 25	- 71	- 60				
Balance of monetary movements	£ million	- 63	- 207	- 200	+ 379	1		- 26	+ 75	+ 72	+ 50	- 29	+ 61	- 40				
Balancing item[2]	£ million	+ 112	+ 161	+ 66	+ 10	4		+ 123	+ 60	+ 115	+ 66	+ 72	+ 25	+ 125				
Import volume	1954 = 100	110.5	114.4	114.3	122.3	7.9	134.9	136.2	140.2	134.6	140.7	142.5	137.1	127.7	132.4	137	135	
Export volume	1954 = 100	113.5	115.7	111.4	116.1	2.1	125.3	126.7	123.8	113.4	124.6	127.9	127.1	119.2	127.2	131	131	
Import prices	1954 = 100	105	107	99	98	9	97	100	99	98	99	97	98	96	96	96	96	96
Export prices	1954 = 100	106	111	110	109	1	112	111	111	111	111	112	112	112	112	112	112	113
Terms of trade	1954 = 100	99	96	90	90	9	86	90	88	88	88	87	88	85	85	85	85	85
Gold and convertible currency reserves	£ million	799	812	1,096	977	4	1,185	993	1,033	1,110	1,154	1,079	990	1,269	1,185	1,261	1,270	1,185
Overseas sterling holdings	£ million	4,091	3,918	3,976	4,212	6	4,515	4,180	4,275	4,347	4,436	4,270	4,252	4,587	4,515			
of which : rest of sterling area	£ million	2,730	2,608	2,519	2,704	0	2,631	2,670	2,674	2,577	2,480	2,441	2,599	2,604	2,631			
non-sterling countries	£ million	692	665	834	803	7	926	822	940	1,166	1,407	1,276	1,101	893	926			
non-territorial organisations	£ million	669	645	623	705	9	958	688	661	604	549	553	552	1,090	958			

1) Monthly averages. 2) Errors and omissions.

CE : Economic Trends.

Table VI. OUTPUT, LABOUR COSTS, PRICES AND PRODUCTIVITY MANUFACTURING INDUSTRY - 1950-1960

	INDICES, 1954 = 100											AVERAGE ANNUAL INCREASE (%)		
	1950	1951	1952	1953	54	1955	1956	1957	1958	1959	1960	1950-55	1955-60	1950-60
Manufacturing output at 1954 prices	88	92	88	94	0	106	106	108	107	114	123	3.8	3.0	3.4
Income from employment in manufacturing	71	80	86	93	0	110	120	127	131	138	150	9.1	6.4	7.8
Income from employment per unit of output in manufacturing	81	87	98	99	0	104	113	117	123	121	122	5.1	3.2	4.2
Wholesale prices of manufactures	85	99	102	100	0	103	107	110	111	111	113	3.9	1.9	2.9
Price of basic materials and fuels used in manufacturing industry	97	138	113	102	0	103	107	107	101	102	102	1.2	-0.2	0.5
Total man-hours worked in manufacturing	94	96	95	97	0	103	103	102	100	102	104	1.8	0.2	1.0
Output per man-hour in manufacturing[1]	94	96	93	97	0	103	103	106	107	112	118	1.8	2.8	2.3

1) N.I.E.S.R. Economic Review.

RCES : National Income Bluebook, L.C.E.S. Quarterly Bulletin and Secretariat estimates.

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